Bad Faith Documentation Kit

Building Your Paper Trail from Day One

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This guide is provided for educational and informational purposes only. It is not legal advice. The information contained in this guide is based on the author's professional experience as a California Licensed Public Adjuster and may not apply to your specific situation or state.

Insurance policies, state regulations, and case law vary significantly from state to state and change over time. Always consult with a licensed public adjuster or attorney in your state before making decisions about your insurance claim.

The examples and scenarios described in this guide are drawn from real-world experience but have been generalized for educational purposes. Any resemblance to specific claims or individuals is coincidental unless otherwise noted.

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CHAPTER 1

What Is Bad Faith in California?

In California, every insurance policy includes an implied covenant of good faith and fair dealing. This means the insurance company has a legal obligation to handle your claim fairly, promptly, and in good faith. When the carrier violates this obligation — by unreasonably delaying, denying, or underpaying your claim — it commits what is legally known as 'bad faith.'

Bad faith is not just about the carrier getting the answer wrong. Insurance companies are allowed to make reasonable mistakes. Bad faith occurs when the carrier's conduct is unreasonable — when no reasonable insurer in the same position would have acted the way your carrier acted. The distinction between a reasonable disagreement and bad faith is the key legal question in every bad faith case.

California recognizes two types of bad faith: first-party bad faith (where the carrier mistreats its own policyholder) and third-party bad faith (where the carrier mishandles a liability claim against its policyholder). This guide focuses on first-party bad faith — the type that arises from property damage claims.

The Legal Standard

The seminal California bad faith case is Gruenberg v. Aetna Insurance Co. (1973), which established that the insurer's duty of good faith and fair dealing is a non-waivable obligation implied by law in every insurance contract. Subsequent cases — including Egan v. Mutual of Omaha (1979), which introduced the availability of punitive damages for bad faith — have built on this foundation to create one of the most policyholder-protective bad faith frameworks in the nation.

Damages Beyond Policy Limits

In California, bad faith can result in damages far beyond the policy limits. The policyholder can recover emotional distress damages, punitive damages, and attorney's fees in addition to the unpaid policy benefits. This is why carriers take bad faith exposure seriously — when they are caught.

CHAPTER 2

The Communication Log: Why Every Call Matters

The single most important tool in a bad faith case is the communication log. This is a chronological record of every interaction between you and your insurance company — every phone call, every email, every letter, every inspection, and every promise made. If you do nothing else in this guide, start and maintain a communication log.

Bad faith cases are won and lost on documentation. The carrier's adjuster is trained to document their side of every interaction in their claim notes. If your version of events contradicts theirs, and you have no contemporaneous records to support your version, the carrier wins. A detailed, real-time communication log changes that dynamic entirely.

What to Record

- Date and time of every communication
- Method of communication (phone, email, letter, in-person)
- Name and title of every person you speak with
- Summary of what was discussed — as detailed as possible
- Any promises or commitments made by the carrier's representative
- Any requests for documents or information — and when you provided them
- Any deadlines mentioned or agreed to
- Your emotional state during significant communications (for emotional distress documentation)

Communication Log Template

Use a simple spreadsheet or notebook with the following columns: Date | Time | Contact Method | Person Contacted (Name/Title) | Summary of Communication |

Promises/Commitments Made | Follow-Up Needed | Documents Requested/Provided.

Write It Down Now

Write your log entries immediately after each communication — not days or weeks later. Contemporaneous notes carry far more weight than after-the-fact recollections. If you can, send a follow-up email after every phone call summarizing what was discussed: 'Per our conversation today, you agreed to...' This creates a written record the carrier cannot later deny.

CHAPTER 3

Regulatory Deadlines Under 10 CCR 2695

The California Fair Claims Settlement Practices Regulations — found at Title 10, California Code of Regulations, Section 2695 — establish specific deadlines and requirements that every insurance carrier must follow when handling claims in California. These regulations have teeth: violations can support bad faith claims and can result in regulatory action by the California Department of Insurance.

Key Regulatory Deadlines

1. Acknowledgment: The carrier must acknowledge receipt of your claim within 15 calendar days (10 CCR 2695.5(e))
2. Initial Response: Within 15 days of acknowledgment, the carrier must begin investigating or provide a reasonable explanation for any delay (10 CCR 2695.5(e))
3. Status Updates: If the investigation is not complete, the carrier must provide written status updates every 30 days until the claim is resolved (10 CCR 2695.7(c)(1))
4. Accept or Deny: The carrier must accept or deny the claim within 40 days of receiving proof of loss, unless additional time is needed and the reasons for the delay are documented in writing (10 CCR 2695.7(b))
5. Payment: Once the claim is accepted, payment must be made within 30 days (10 CCR 2695.7(h))
6. Denial in Writing: Any denial must be in writing, must state the specific reasons for the denial, and must reference the specific policy provisions relied upon (10 CCR 2695.7(b)(1))

Deadlines Are Mandatory

> These deadlines are not suggestions — they are legal requirements. Every time the carrier misses a deadline, document it. Every missed deadline is a potential building block for a bad faith case.

The regulations also impose substantive requirements beyond deadlines. Carriers must conduct a thorough investigation. They cannot deny a claim without a reasonable basis for doing so. They cannot make settlement offers that are unreasonably low. They cannot misrepresent the law or the policy provisions to discourage claims. And they cannot require policyholders to file suit as a prerequisite to receiving benefits that are clearly owed.

CHAPTER 4

Common Bad Faith Indicators Checklist

How do you know if your carrier is acting in bad faith? While every claim is different, there are common patterns of conduct that, individually or collectively, can support a bad faith claim. The following checklist is drawn from decades of claims handling experience and California case law.

Delay Tactics

- Failing to acknowledge your claim within 15 days
- Failing to assign an adjuster for weeks or months
- Repeatedly requesting the same documents you have already provided
- Transferring your claim to a new adjuster multiple times
- Scheduling inspections and then canceling or rescheduling repeatedly
- Claiming they need 'more time to investigate' without specifying what they are investigating
- Refusing to respond to phone calls, emails, or letters for extended periods

Lowball and Underpayment Tactics

- Offering a settlement that is clearly insufficient based on the damage
- Using program pricing or outdated material costs instead of current market rates
- Excluding legitimate line items from the estimate without explanation
- Refusing to include overhead and profit when multiple trades are required
- Over-depreciating items to reduce the ACV payment
- Misrepresenting policy provisions to exclude coverage that exists
- Ignoring your contractor's bid and insisting their Xactimate estimate is correct

Denial and Coverage Tactics

- Denying the claim without conducting a thorough investigation
- Denying based on a policy exclusion that does not actually apply
- Claiming your damage is from a non-covered cause without evidence
- Issuing a verbal denial but refusing to put it in writing
- Applying an exclusion that was not in your policy at the time of the loss
- Failing to inform you of all coverages that may apply to your loss

Pattern Matters

No single item on this list necessarily proves bad faith. But when multiple items are present — and especially when they form a pattern — the evidence becomes compelling. Document every instance.

CHAPTER 5

Documenting Violations in Real Time

The difference between a policyholder who wins a bad faith case and one who does not often comes down to documentation. It is not enough to know that your carrier acted badly — you have to be able to prove it. That means creating a real-time record of violations as they happen, not trying to reconstruct the timeline months or years later.

Documentation Tools and Methods

1. Communication log (described in Chapter 2) — maintain this daily during active claim periods
2. Written correspondence — always follow up phone calls with an email or letter summarizing the conversation
3. Timeline chart — create a visual timeline showing key dates, deadlines, and carrier actions/inactions
4. Violation tracker — maintain a separate document listing each regulatory violation with the specific regulation number, the date of the violation, and the supporting evidence
5. Photograph and video log — document the condition of your property at each stage with timestamps
6. Financial impact records — track every dollar of additional cost caused by the carrier's delays (extended ALE, increased contractor costs, interest on loans, etc.)

Every document should be saved in at least two places — an electronic copy and a physical copy or a second electronic backup. If you are working with a public adjuster or attorney, provide them with copies of everything. Do not rely on any single storage location.

Real Time Is Everything

The best documentation is created in real time. An email sent on the day the carrier missed a deadline saying 'Today marks 45 days since I submitted my proof of loss and I have received no response' is far more powerful than a declaration written two years later saying 'I believe it was around 45 days.'

CHAPTER 6

The Interplay of Statutes, Regulations, and Case Law

California bad faith law sits at the intersection of three bodies of authority: statutes enacted by the legislature, regulations promulgated by the Department of Insurance, and case law developed by the courts. Understanding how these three sources interact is essential for building a comprehensive bad faith documentation strategy.

Key Statutes

- Insurance Code Section 790.03 — the Unfair Insurance Practices Act, which lists prohibited practices including misrepresentation, unreasonable delay, and failure to investigate
- Insurance Code Section 790.06 — authorizes the Insurance Commissioner to take enforcement action against carriers that violate Section 790.03
- Civil Code Section 3294 — authorizes punitive damages where the defendant's conduct is oppressive, fraudulent, or malicious (applicable to bad faith cases)
- Insurance Code Section 2071 — the Standard Fire Policy, which establishes the baseline terms for fire insurance in California

Key Regulations

- 10 CCR 2695.1 through 2695.17 — the Fair Claims Settlement Practices Regulations, establishing specific standards and deadlines for claims handling
- 10 CCR 2695.7 — the most cited regulation, covering investigation, acceptance/denial, and payment timelines
- 10 CCR 2695.9 — additional standards for first-party residential and commercial property claims

Key Cases

Gruenberg v. Aetna (1973) — established the implied covenant of good faith in insurance. Egan v. Mutual of Omaha (1979) — allowed punitive damages for bad faith. Brandt v. Superior Court (1985) — allowed recovery of attorney's fees incurred to obtain policy benefits wrongfully withheld. Wilson v. 21st Century (2007) — held that a single violation of the Fair Claims Settlement Practices Regulations can constitute bad faith per se. Chateau Chamberay v. Associated International (2001) — held that the genuine dispute doctrine does not protect a carrier that fails to properly investigate before denying a claim.

One Violation Can Be Enough

The Wilson case is particularly important: a single violation of the regulations can be sufficient to establish bad faith. You do not need to prove a pattern of violations — although a pattern makes the case much stronger and supports punitive damages.

CHAPTER 7

Sample Follow-Up Letters for Missed Deadlines

15-Day Acknowledgment Deadline Missed

[Date]

[Insurance Company Name]
[Claims Department Address]

Re: Insured: [Your Name]
Policy Number: [Policy Number]
Claim Number: [If assigned]
Date of Loss: [Date of Loss]
NOTICE OF FAILURE TO ACKNOWLEDGE CLAIM

Dear Claims Department:

On [date], I reported a loss to your company. As of today, [number] days have elapsed and I have not received written acknowledgment of my claim as required by California Code of Regulations, Title 10, Section 2695.5(e), which requires insurers to acknowledge receipt of a claim within 15 calendar days.

Your company's failure to comply with this regulatory requirement is noted and documented. I demand immediate acknowledgment of my claim and assignment of an adjuster.

Please be advised that I am maintaining a detailed record of all communications and regulatory violations related to this claim.

Sincerely,
[Your Name]

40-Day Accept/Deny Deadline Missed

[Date]

[Insurance Company Name]
[Claims Department Address]

Re: Insured: [Your Name]
Policy Number: [Policy Number]
Claim Number: [Claim Number]
Date of Loss: [Date of Loss]
NOTICE OF FAILURE TO ACCEPT OR DENY CLAIM

Dear [Adjuster Name]:

On [date], I submitted a complete proof of loss for the above-referenced claim. As of today, [number] days have elapsed and your company has neither accepted nor denied my claim. Under 10 CCR 2695.7(b), your company was required to accept or deny the claim within 40 days of receipt of the proof of loss, or to provide written notice of the need for additional time with a specific explanation.

No such notice has been received. Your company's failure to comply with this regulatory requirement constitutes a violation of the Fair Claims Settlement Practices Regulations and may constitute bad faith under California law.

I demand an immediate written response accepting or denying my claim, with specific reasons if denied, as required by regulation.

Sincerely,
[Your Name]

30-Day Payment Deadline Missed

[Date]

[Insurance Company Name]
[Claims Department Address]

Re: Insured: [Your Name]
Policy Number: [Policy Number]
Claim Number: [Claim Number]
NOTICE OF FAILURE TO ISSUE PAYMENT

Dear [Adjuster Name]:

On [date], your company accepted my claim and agreed to payment in the amount of $[amount]. As of today, [number] days have elapsed and no payment has been received. Under 10 CCR 2695.7(h), payment must be issued within 30 calendar days of the date the claim is accepted.

Your company's continued failure to issue payment constitutes an ongoing violation of the Fair Claims Settlement Practices Regulations. I demand immediate payment.

Sincerely,
[Your Name]

CHAPTER 8

When Bad Faith Becomes a Lawsuit

Not every claim handling dispute is a bad faith lawsuit. But when the carrier's conduct crosses the line from negligent to unreasonable — and especially when the carrier's actions appear to be part of a deliberate strategy to minimize or deny a legitimate claim — a bad faith lawsuit may be appropriate.

Elements of a Bad Faith Claim

1. The existence of an insurance policy and a covered loss
2. The carrier's failure to properly investigate, evaluate, or pay the claim
3. The carrier's conduct was unreasonable — meaning no reasonable insurer would have acted the same way
4. The policyholder suffered damages as a result of the carrier's unreasonable conduct

Damages in a bad faith case can include the unpaid policy benefits, consequential damages (such as increased repair costs caused by delay), emotional distress damages, Brandt attorney's fees (fees incurred to obtain the wrongfully withheld benefits), and punitive damages where the carrier's conduct was oppressive, fraudulent, or malicious.

The Genuine Dispute Doctrine

Carriers frequently raise the 'genuine dispute doctrine' as a defense to bad faith claims. This doctrine holds that when there is a genuine dispute over coverage or the amount of loss, the carrier's denial or low payment is not bad faith because the disagreement was reasonable. However, this doctrine has significant limitations.

The genuine dispute doctrine does not protect a carrier that fails to conduct a thorough investigation. It does not protect a carrier that relies on its own biased experts while ignoring the policyholder's evidence. And it does not protect a carrier whose dispute is manufactured rather than genuine. A carrier cannot create a 'genuine dispute' by hiring an engineer to write a pre-determined report denying damage that clearly exists.

Genuine Dispute Has Limits

The genuine dispute doctrine is the carrier's favorite defense, but it is not a blank check. If the carrier's 'dispute' is based on a biased investigation, cherry-picked evidence, or willful ignorance of contrary evidence, the doctrine does not apply.

CHAPTER 9

Working with a Bad Faith Attorney

If you believe your carrier has acted in bad faith, you need an attorney who specializes in insurance bad faith litigation. This is not a general practice area — it requires specific knowledge of insurance law, regulations, and the claims handling process. A good bad faith attorney will know the regulations, the case law, and the carrier's playbook.

When to Hire an Attorney

- When the carrier has denied your claim and you believe the denial is wrong
- When the carrier has significantly underpaid your claim and refuses to negotiate
- When the carrier has violated multiple regulatory deadlines
- When the carrier's conduct shows a pattern of unreasonable behavior
- When the carrier has misrepresented your policy provisions or the law
- When you have substantial damages beyond the policy benefits (emotional distress, consequential damages)

What to Look for in an Attorney

- Specific experience with first-party insurance bad faith cases (not just general litigation)
- Familiarity with the Fair Claims Settlement Practices Regulations (10 CCR 2695)
- Track record of results — verdicts and settlements in bad faith cases
- Contingency fee arrangement — most bad faith attorneys work on contingency (typically 33-40%)
- Resources to handle discovery and trial — bad faith cases can be document-intensive
- Willingness to take the case to trial if necessary — carriers settle cases they might

lose at trial

What to Bring to Your First Meeting

1. Your complete communication log (this is why Chapter 2 is so important)
2. All correspondence with the carrier — letters, emails, and claim documents
3. Your policy (declarations page and full policy form)
4. The carrier's estimate and your contractor's estimate or supplemental estimate
5. Your violation tracker and timeline chart
6. Photographs and documentation of the damage
7. Any documents the carrier relied upon in denying or underpaying your claim

Preparation Matters

The better your documentation, the more attractive your case will be to a quality attorney. Attorneys evaluate cases based on the strength of the evidence. A policyholder who walks in with a detailed communication log, a violation tracker, and a complete file will get a very different reception than one who walks in with nothing but a complaint.

CHAPTER 10

The CDI Complaint: How to File and What to Expect

The California Department of Insurance (CDI) is the regulatory body that oversees insurance carriers operating in California. Filing a complaint with the CDI is one of the most effective tools available to policyholders — and it is free. When you file a CDI complaint, the Department opens a file, contacts the carrier, and demands a response. Carriers take CDI complaints seriously because repeated violations can lead to market conduct examinations, fines, and other regulatory consequences.

A CDI complaint is not a substitute for a lawsuit, and the CDI does not award damages. But a CDI complaint can accomplish several things: it creates an official record of the carrier's conduct, it often prompts the carrier to re-examine the claim, and it can lead to regulatory action that benefits you and other policyholders. Additionally, the CDI's findings can be used as evidence in a subsequent bad faith lawsuit.

How to File a CDI Complaint

1. Go to insurance.ca.gov and navigate to the File a Complaint section
2. You can file online, by mail, or by phone — online is fastest
3. Provide your policy number, claim number, and the carrier's name
4. Describe the specific conduct you are complaining about — be detailed and factual
5. Reference the specific regulations the carrier has violated (10 CCR 2695 sections)
6. Attach supporting documents — your communication log, correspondence, and evidence of violations
7. Be patient — the CDI may take 30 to 60 days to investigate and respond

When you file your complaint, be specific about which regulations the carrier violated and when. Do not just say 'they are taking too long.' Instead, say: 'On [date], I submitted my proof of loss. As of [date], 55 days have elapsed and the carrier has neither accepted nor denied the claim in violation of 10 CCR 2695.7(b), which requires acceptance or denial within 40 days.' Specificity gets results.

File Early, File Often

File CDI complaints early and often. Every complaint creates a record. If the carrier has a pattern of violations across multiple policyholders, the CDI may initiate a market conduct examination — which is every carrier's worst nightmare. Your complaint could be the one that triggers it.

CHAPTER 11

Punitive Damages: When the Carrier Crossed the Line

In California, bad faith claims can include punitive damages when the carrier's conduct rises to the level of fraud, oppression, or malice. Punitive damages are designed not to compensate you for your loss but to punish the carrier and deter similar conduct in the future. There is no cap on punitive damages in California, and jury awards can be substantial — sometimes many multiples of the actual damages.

To obtain punitive damages, you must show by clear and convincing evidence that the carrier's conduct was (a) fraudulent — meaning the carrier made intentional misrepresentations with the intent to deceive, (b) oppressive — meaning the carrier subjected you to cruel and unjust hardship in conscious disregard of your rights, or (c) malicious — meaning the carrier's conduct was intended to cause injury or was done with a willful and conscious disregard of the rights of others.

Conduct That Supports Punitive Damages

- Destroying or concealing evidence that supported the policyholder's claim
- Instructing adjusters to deny or reduce claims regardless of merit (claims manual violations)
- Using biased experts who are paid to reach predetermined conclusions
- Deliberately misrepresenting policy provisions to discourage claims
- Retaliating against a policyholder who filed a CDI complaint or hired an attorney
- Implementing company-wide policies designed to systematically underpay claims
- Continuing to deny a claim after receiving overwhelming evidence of coverage and damages

Documentation is the key to punitive damages. Your communication log, violation tracker, and correspondence file are the evidence that transforms a routine underpayment into a punitive damages case. Every time the carrier acts unreasonably, document it. Every time they ignore your evidence, document it. Every time they miss a deadline, document it. The cumulative weight of the documentation tells the story.

The Punitive Damages Multiplier

Punitive damages are the carrier's greatest fear in a bad faith case. A $100,000 underpayment can turn into a $1,000,000+ verdict when the jury sees a pattern of deliberate, oppressive conduct. This is why documentation from day one matters — it is the foundation of the punitive damages case.

CHAPTER 12

Bad Faith Checklist and Quick Reference

Use this chapter as your quick reference throughout your claim. Photocopy this section or keep it bookmarked so you can check it regularly against your carrier's conduct.

Regulatory Deadlines Quick Reference

- 15 days — carrier must acknowledge receipt of your claim
- 15 days after acknowledgment — carrier must begin investigation or explain the delay
- 30 days — carrier must provide written status updates while investigation is pending
- 40 days — carrier must accept or deny the claim after receiving proof of loss
- 30 days — carrier must issue payment after accepting the claim
- Every denial must be in writing with specific policy provisions and factual reasons cited

Documentation Checklist

- Communication log — maintained daily during active claim periods
- Correspondence file — every letter, email, and written communication
- Violation tracker — every regulatory violation with date, regulation number, and evidence
- Timeline chart — visual timeline of key events and deadlines
- Financial impact records — all costs caused by the carrier's delays
- Photograph and video log — timestamped visual documentation

- Policy copy — full policy form and declarations page
- Carrier's estimate and all supplements — with your annotations noting deficiencies
- Your contractor's estimate or public adjuster's estimate — showing the real cost of repairs

Red Flags to Watch For

1. The carrier stops returning your calls or emails for more than 10 business days
2. Your claim is reassigned to a new adjuster without explanation (and the new adjuster starts over)
3. The carrier requests documents you have already provided — more than once
4. The carrier's estimate is less than 50% of your contractor's bid
5. The carrier denies coverage without citing a specific policy exclusion
6. The carrier pressures you to accept a settlement with phrases like 'take it or leave it'
7. The carrier threatens to close your file if you do not accept their offer
8. The carrier hires a 'forensic' expert who concludes the damage is not from the covered event

When to Call an Attorney

If three or more of these red flags are present in your claim, consult with a bad faith attorney immediately. You may have a case worth significantly more than the underpaid claim amount alone.

CHAPTER 13

The Biased Expert Problem

One of the most insidious bad faith tactics is the carrier's use of biased experts — engineers, consultants, or other professionals hired specifically to support the carrier's position. These experts are not truly independent. They work almost exclusively for insurance carriers, their conclusions are predictable before they even inspect the property, and their reports are designed to give the carrier cover for denying or reducing the claim.

The most common biased experts in property insurance claims are forensic engineers who are hired to determine the cause of damage. The carrier presents the engineer's report as an independent, scientific analysis. In reality, many of these engineers work for firms that derive 80-90% of their revenue from insurance carriers. Their business model depends on producing reports that support denials. They know that if they start finding in favor of policyholders, the referrals will stop.

How to Spot a Biased Expert

- The expert works for a firm that primarily serves insurance carriers
- The expert's conclusions always seem to favor the carrier
- The report focuses on alternative causes for the damage while ignoring the obvious cause
- The expert did not spend adequate time inspecting the property
- The report does not address or even mention evidence that contradicts the expert's conclusions
- The expert has a history of being challenged or excluded in litigation
- The report was commissioned after the adjuster already made a coverage decision

If the carrier sends an expert to your property, you have the right to be present during the inspection and to hire your own expert. Document everything the carrier's expert does — photograph them photographing your property, note how long they spend in each area, and record what they examine and what they skip. If the expert spends 20 minutes inspecting a complex loss and then produces a 15-page report denying the damage, that discrepancy is itself evidence of bias.

Challenge the Expert

When the carrier denies your claim based on an expert report, demand the expert's full CV, a list of all cases they have worked for insurance carriers in the last 5 years, and the percentage of their revenue that comes from carrier-hired work. If the expert cannot or will not provide this information, it tells you everything you need to know about their objectivity.

CHAPTER 14

Sample Violation Log Template

This template provides a structured format for documenting every regulatory violation by your insurance carrier. Maintain this log in a spreadsheet and update it every time a violation occurs. This document will be invaluable if you file a CDI complaint or a bad faith lawsuit.

Violation Log Columns

Set up your spreadsheet with these columns:

Column A: Violation Number (sequential, starting at 1)
Column B: Date of Violation
Column C: Regulation Violated (cite the specific CCR section)
Column D: Description of Violation (detailed, factual narrative)
Column E: Required Deadline (per regulation)
Column F: Actual Response Date (if any)
Column G: Days Late (auto-calculated)
Column H: Supporting Evidence (list documents that prove the violation)
Column I: Follow-Up Action Taken (letter sent, CDI complaint filed, etc.)
Column J: Carrier Response (if any)

Sample Entries

Violation #1: Date: 1/15/2026 | Regulation: 10 CCR 2695.5(e) | Description: Claim reported on 12/28/2025. As of 1/15/2026 (18 days), no written acknowledgment received. Regulation requires acknowledgment within 15 calendar days. | Deadline: 1/12/2026 | Response: None | Days Late: 3+ | Evidence: Claim submission confirmation email dated 12/28/2025, no acknowledgment in mail or email as of 1/15/2026 | Action: Letter sent per Chapter 7 template.

Violation #2: Date: 3/15/2026 | Regulation: 10 CCR 2695.7(b) | Description: Proof of loss submitted on 1/30/2026. As of 3/15/2026 (44 days), carrier has neither accepted nor denied claim. Regulation requires acceptance or denial within 40 days. | Deadline: 3/11/2026 | Response: None | Days Late: 4+ | Evidence: Certified mail receipt showing proof of loss delivery on 1/30/2026, no written response as of 3/15/2026 | Action: Letter sent and CDI complaint filed.

The Backbone of Your Case

This violation log becomes the backbone of your bad faith case. Attorneys and judges can see at a glance how many violations occurred, when they occurred, and how the carrier responded (or failed to respond). A well-maintained violation log with 10 or more documented violations is powerful evidence.

CHAPTER 15

Emotional Distress Documentation for Bad Faith Claims

Bad faith damages in California include compensation for emotional distress — the anxiety, frustration, sleeplessness, depression, and other emotional harm caused by the carrier's unreasonable conduct. Emotional distress damages can be substantial, but they require documentation just like every other element of your claim.

The insurance company's bad faith conduct affects real people in real ways. When a carrier refuses to pay for repairs and you are living in a damaged home, that causes stress. When a carrier refuses to pay ALE and you are scrambling to cover a hotel bill, that causes anxiety. When a carrier denies a legitimate claim and you cannot afford to fix your roof before the next rainstorm, that causes fear. These emotional responses are compensable damages.

How to Document Emotional Distress

- Keep a journal noting how the carrier's conduct affects your daily life
- Record sleep disturbances — difficulty falling asleep, waking during the night, nightmares
- Note any changes in appetite, weight, energy level, or mood
- Document missed work days or reduced productivity due to claim-related stress
- Record impacts on family relationships and social activities
- If you seek medical or psychological treatment, keep all records and receipts
- Note specific carrier actions and their emotional impact — e.g., 'When the adjuster denied our claim on the phone, my wife broke down in tears'
- Ask family members and close friends if they would be willing to describe the changes they have observed in you

If the emotional distress is severe enough to warrant professional help — therapy, counseling, or medication — seek it and document it. Treatment records from a mental health professional are powerful evidence in a bad faith case. They show that the carrier's conduct caused real, clinically significant harm.

Emotional Distress Is Real Money

Emotional distress damages in California bad faith cases routinely reach $50,000 to $500,000 or more, depending on the severity of the carrier's conduct and the impact on the policyholder. Do not neglect this category of damages — it can be the largest component of a bad faith recovery.

Need Help With Your Claim?

If you're dealing with an insurance company that isn't treating you fairly, you don't have to fight alone. A licensed public adjuster works for you — not the insurance company — to make sure you receive every dollar you're entitled to under your policy.

Visit: insuranceclaimsinfo.com

Free resources, guides, and expert help for policyholders

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